

THERE'S NO FREE LUNCH

ELECTION SEASON IS UPON US. POLITICAL PARTIES ARE GOING ALL OUT TO WOO VOTERS WITH PROMISES OF FARM LOAN WAIVERS, FREE LAPTOPS AND FREE TRANSPORT TO WOMEN. BUT WHERE DO WELFARE MEASURES END AND FREEBIES START AND WHO FOOTS THE BILL?

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VERYBODY LOVES A gift. That's the basic principle for businesses looking to build a customer base or entice existing customers into spending more. And it also holds true for elections in India, where political parties go all out to bring in votes by promising schemes and incentives that can run into a few thousand crores of rupees, if not more, that eventually come out of the taxpayers' pockets.

Not surprisingly then, the recent state elections saw promises of doles and new schemes flying thick and fast. From farm loan waivers and government jobs to free education, higher cooking gas subsidy, financial packages for women, laptops for college-going students and reverting to the Old Pension Scheme (OPS), political parties left no stone unturned in trying to win voters during the recent assembly elections in the states of Mizoram, Chhattisgarh, Madhya Pradesh, Rajasthan and Telangana (*see chart 'On Offer: A Reading of Poll Promises'*). Prior to that, assembly elections in Uttar Pradesh and Karnataka also saw such promises.

That's not all. Bowing to popular demand, the government had as part of the Union Budget 2023-24 set up a four-member committee led by Finance Secretary T.S. Somanathan to review the New Pension Scheme (NPS) for government employees. More recently, the central government has extended the free food grain subsidy scheme by another five years at an estimated cost of ₹11.8 lakh crore.

The stage is now set for the General Elections in 2024 and the state polls are expected to help political parties assess how far the promises of freebies helped them in getting votes. For in-